



KYC & Financial Due- Diligence Framework



EaziWage

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Version History

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Approval Record

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1	25 Oct 2025	EaziWage Holdings Limited Board Members

Ownership

Chief Executive Officer

Applicability

This KYC & Financial Due-Diligence Framework (“the Framework”) provides insights into EaziWage Holdings Limited (“EaziWage”) robust KYC and due-diligence process for both employers and employees. The Framework applies to all employees, employers, and any other employees or entities within the EaziWage Group, if and where relevant.

1. Introduction

At the core of EaziWage's earned-wage access (EWA) platform, EaziWage is effectively providing financial-services (disbursing wages early, handling funds flows, managing employer payroll/employee earnings) to employees on behalf of employers. As such, EaziWage has developed a **robust KYC (Know Your Customer) and financial / operational due-diligence** framework for both sides of the marketplace (employees and employers) so as to manage regulatory, fraud, AML/CFT, credit, business-risk and reputational exposures.

Below is a detailed **end-to-end process**— including industry-specific regulatory reference points — for both the *employee side* (individuals) and the *employer side* (businesses). This Framework also highlights ongoing monitoring, risk tiers, and record-keeping.

2. Employer Onboarding & Due Diligence

1. Company identity & registration

- Certificate of Incorporation (or registration) from the Registrar of Companies;
- Register of current directors/shareholders;
- Memorandum & Articles of Association (or equivalent);
- Business PIN/Tin/VAT/Tax certificate;
- For Employer's with a parent company that sits offshore - Business registration in home country + local branch registration, as applicable.

2. Business address & contact

- Proof of business registered address (utility bill, lease agreement);
- Physical address, phone, email, principal place of business;

3. Beneficial ownership / control

- Identify and verify beneficial owners (e.g., persons ultimately owning or controlling > 25% of the company);
- Collect certified copies of identity (IDs) and/or passports (if foreign owned) and confirm address of senior owners/officers;
- Screen for Politically Exposed Persons / Adverse media / Sanctions.

4. Operational

- Provide proof they are legitimate employer:
 - Business Operating licence(s),
 - Business Permit,
 - Tax Compliance Certificate,
 - Labour and PAYE registration,
 - Proof of PAYE/Social Security/SHA/NHIF remittances.
- Provide recent payroll records or proof of salary payments to employees;
- Provide details of their employment contract model, number of employees, pay-cycle frequency, bank(s) used for payroll;
- Review internal control, payroll processing flow (to ensure employees' earnings are legitimate and not inflated fraudulently);
- Review payroll bank account(s) tied to the employer;
- Confirm that salary/wage payments are indeed going to the employees you will onboard (Bank statement sampling).

5. Financial- & audit health

- Last 3 Years audited financial statements (or management accounts);
- Review any outstanding litigation, regulatory fines, or labour disputes.
- Review credit history of business (if required);
- Verify that the employer has sufficient liquidity and payroll capacity to continue payroll operations (as per **Risk Classification, Scoring & Framework**).

6. AML/CFT risk assessment

- Assess geographical risk (if employer has operations in high-risk jurisdictions);
- Assess business nature risk (some sectors may be higher risk for misuse of advances or money-laundering - as per **Risk Classification, Scoring & Framework**).

7. Legal

- Verification of authorised signatories (e.g., a board resolution) – Who can enter into the EWA platform agreement;
- Execute EWA platform agreement with employer covering access to the employer's payroll system, responsibilities (e.g., updating you on terminations, pay adjustments), data sharing, repayments, fund flows, audit rights, etc.

If the employer triggers risk flags (large payroll volume, new nascent business, high turnover, unusual structure, cross-border, high employee churn, etc.), then further need further due diligence as required by EaziWage will be performed.

2. Ongoing Monitoring & Review for Employers

- Unless major changes are presented or discovered (I.e. mergers, restructuring, change in ownership, employer enters insolvency, regulatory action, large drops in payroll volume, high default rate in EWA advances), all Employer Onboarding & Due-Diligence must be **Annually** carried out by EaziWage.
- EaziWage will continue to monitor payroll volume, employee counts, turnover, payroll account changes.
- Maintain records of all verification and monitoring in alignment with the **EaziWage's policies**.

3. Employee Onboarding & Due Diligence

1. Identity verification

- Government-issued identification: National ID card or valid passport (for non-citizens).
 - Verify name, date of birth, ID number or Passport Number, expiry date (where relevant)
- Use e-KYC tools where possible (Document scanning, biometric/liveness check).

2. Address verification

- Proof of residential address (recent utility bill, bank statement, lease agreement) ideally dated within the last 3 months;

3. Tax identification

- Collect employee TIN/PIN/Tax/PAYE certificate to show tax registration,
- Employee Tax Compliance Certificate

4. Employment & salary information

- Confirm employer details align with Employer Onboarding & Due-diligence details;

- Confirm employment status: full-time/part-time/contractor, pay frequency;
- Collect salary amount and bank account (or mobile wallet) into which salary is paid;
- Collect signed or digital employment contract (indicating earnings, pay cycle, termination rights);
- Obtain recent payslips (e.g., last 1-3 months) and bank statements and mobile wallet showing salary credit to the account, to validate salary.

. 5. Bank and mobile wallet account verification

- Ensure that the bank account or mobile wallet where the advance is paid is owned by the employee (verify account control) to prevent third-party accounts.

6. Consent & data rights

- Obtain the employee's consent to share payroll/salary/advance data, to undertake credit risk assessment, to deduct repayment from salary, to report or collect data required for compliance as per **EaziWage's Terms & Conditions and Policies**;
- Include privacy/data-protection notice consistent with the applicable law and **EaziWage's Policies**;
- Inform the employee of your terms: how the advance will work, fees, repayment mechanism, termination of employment, risk of default, and credit-reporting, if applicable, as per **EaziWage's Terms & Conditions**.

EaziWage may trigger enhanced checks for employees who have very high salary, unusual earnings, cross-border employment, or show signs of fraud/risk. In these cases, the following enhanced Due-diligence should be carried out:

7. Source of income / employment verification

- Confirm the salary via employer;
- Possibly verify length of service, job role, and check for previous employment falsification;
- Confirm bank account / mobile wallet history (optional) if there is high pay or risk of false claim.

8. Credit check / affordability assessment

- Ask about previous advance/loan arrangements, default history, etc.

4. Ongoing Monitoring & Review for Employees

- Monitor changes: If the employee leaves the employer (termination or resignation) -> the agreement/advance mechanism should be adjusted and/or terminated (e.g., you must stop advances).
- Track repayment performance: look for missed repayments, high default rates among certain segments → this may signal fraud or mis-onboarding.
- Periodic re-verification: For example annual refresh of ID or address or payslip or biometrics, as demanded.
- Keep records of all employee onboarding, verifications, consent, transactions, and communications as per **EaziWage's policies**.

5. Financial / Operational Due Diligence & Product-Specific Controls (EWA model)

Because our model involves advancing wages, we have additional risk dimensions: liquidity risk, default risk, operational risk (fraud), employer termination risk, payroll risk. Here are the controls and processes we have embedded to mitigate against such risks:

1. Advance eligibility criteria

- Define what percentage of earned wages can be advanced - up to **60%** of accrued earnings;
- Cap per-employee advance amounts and frequency - **two advances per pay period**;
- Set conditions – each employee must have completed 56 hours of work and cannot request for an advance in the last **7 days** of the month;
- Set waiting period (e.g., first **60 days** of employment must pass) to reduce turnover risk.

2. Repayment mechanism

- Ensure that the repayment of the advance is tied to the employee's next payroll cycle (automatic deduction against employer);

- Ensure employer consent and operational integration: EWA platform agreement with employer should permit deduction of the advance from payroll with remittance to EaziWage's wallet/account;
- If the employee terminates employment before repayment, EaziWage has a contractual mechanism to claim the deduction from the employer.

3. Employer payroll integration and validation

- The payroll feed from the employer should be regularly provided and verified;
- Employer must provide real-time or batch data on hours worked, salary, deductions, terminations, leaves, etc.;
- Payroll bank account & salary flows need to be stable (you may check that the employer has a dedicated salary account, that salary payments are regular).

4. Liquidity management

- EaziWage must ensure sufficient capital to fund advances without jeopardising operational liquidity;
- EaziWage should run dynamic modelling of advance volumes, default rates, churn, employer failure risk.

5. Fraud & operational risk controls

- Prevent "advance farming" (employee signs up, draws advance, resigns, repeats) EaziWage incorporate employment history and termination monitoring.
- Use identity verification (as above) and link to employer payroll system to ensure the employee is valid.
- Use transaction monitoring: unusual patterns of advances, repayments, terminations, or employer behaviour may require review.

6. Financial due diligence on employer side

- Review employer's payroll history and turnover trends: high churn may increase risk;
- Review employer's solvency: if employer goes bankrupt, many employees may leave and EaziWage loses its ability to recoup advances;
- Check employer's history of wage complaints/labour disputes (could signal risk of disruption);
- Ensure employer has no outstanding statutory payments (PAYE, NHIF, NSSF, SHA, Etc) that might indicate financial stress;
- If the employer uses a third-party payroll service, EaziWage ensures it has full visibility and control over data integration.

7. Data & compliance logging

- Store timestamped records of every advance, employee consent, employer payroll data, and repayment data;
- Monitor key metrics: default rate per employer, churn rate, average advance size, repayment timing, employer termination frequency, etc.;
- Report suspicious activity internally and to regulatory bodies (e.g., to the Financial Reporting Centre (FRC) in Kenya) in case of AML red flags.

6. Conclusion

The onboarding of both employer and employee with robust KYC and due-diligence for risk management and mitigation is crucial to the success of EaziWage. This Framework should be adopted to ensure correct KYC and due-diligence is performed with little to no deviation unless agreed by the Chief Executive Officer.

Annexure 1 – End-to-End Process Flow

Here's how you might operationalise:

1. Employer applies to your platform → KYC check (Points 1 – 6 of Employer Onboarding & Due Diligence) → Risk score assigned as per **Risk Classification, Scoring & Framework**.
2. Employer contract signed (including payroll integration, data sharing, deduction rights) → Employer onboarding complete.
3. Employer uploads payroll feed or connects via API (3 weeks).
4. Employee is invited (via employer) → employee completes KYC check (Points 1- 6 of Employee Onboarding & Due-diligence) → Risk score assigned as per **Risk Classification, Scoring & Framework**. If Employee is considered high risk, Points 7 – 8 will be conducted.
5. Employee employment verification via employer payroll data.
6. Advance eligibility check (based on accrued wages/hours).
7. Advance disbursed (into bank or mobile wallet) → repayment scheduling set.
8. Monitoring: employer payroll feed continues; employee salary paid; advance deducted.
9. If termination or unusual event: employer notifies or you detect via feed → you trigger recovery/stop further advances.
10. Periodic review: employer re-due diligence, employee re-verification, analytics on portfolio performance.
11. Record keeping: all docs, logs, transactions retained as per **EaziWage's Policies**.
12. Escalation: if suspicious pattern (multiple advances, terminations shortly after advance, fake employer account) → enhanced due diligence, freeze, maybe refer to compliance/legal.

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